

**Before the
Federal Maritime Commission**

Docket No. 25-03

EUROMARKET DESIGNS, INC. v.

**MSC MEDITERRANEAN SHIPPING COMPANY SA, OCEAN NETWORK EXPRESS
PTE. LTD., EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982),
EVERGREEN MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK)
LIMITED, ITALIA MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD.,
EVERGREEN MARINE (SINGAPORE) PTE. LTD., HMM COMPANY LIMITED,
MAERSK A/S, CMA CGM S.A., APEX MARITIME CO, INC., CHINA UNITED
TRANSPORT, INC., COSCO SHIPPING LINES CO., LTD., AND WAN HAI LINES
LTD.**

VERIFIED ANSWER TO VERIFIED COMPLAINT

Respondent COSCO Shipping Lines Co., Ltd. (“Respondent”) answers the Verified Complaint (“Complaint”) of Complainant Euromarket Designs, Inc. (“Complainant” or “Euromarket”) as follows:

Answers to Complainant’s Allegations

1. Respondent admits that it did not have a Service Contract with Complainant. But except as admitted, Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 1. To the extent an answer is otherwise required, those allegations are denied.

2. Respondent denies the allegations in Complaint paragraph 2 as they relate to COSCO and otherwise considers that Complaint paragraph 2 sets forth legal conclusions for which no answer is required.

3. Respondent denies the allegations in Complaint paragraph 3.

4. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 4-7. To the extent an answer is otherwise required, those allegations are denied.

5. Respondent denies the allegations in Complaint paragraphs 8-9.

6. Respondent admits that COSCO's revenue increased from 2020 through 2022 but cannot confirm the accuracy of the figures set forth therein. Except as admitted, Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 10. To the extent an answer is otherwise required, those allegations are denied.

7. Respondent denies the allegations in Complaint paragraph 11.

8. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 12. To the extent an answer is otherwise required, those allegations are denied.

9. Respondent admits that COSCO is a member of the Ocean Alliance but except as admitted Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 13. To the extent an answer is otherwise required, those allegations are denied.

10. Respondent denies the allegations in Complaint paragraph 14.

11. Complaint paragraph 15 sets forth legal conclusions for which no answer is required, but to the extent an answer is required, Respondent denies the allegations of this paragraph.

12. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 16-35. To the extent an answer is otherwise required, those allegations are denied.

13. Respondent admits the allegations in Complaint paragraphs 36-37.
14. Respondent denies the allegations in Complaint paragraph 38.
15. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 39-40. To the extent an answer is otherwise required, those allegations are denied.
16. Complaint paragraph 41 sets forth legal conclusions for which no answer is required, but to the extent an answer is required, Respondent denies the allegations of this paragraph.
17. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 42-50. To the extent an answer is otherwise required, those allegations are denied.
18. Respondent denies the allegations in Complaint paragraphs 51-53 with respect to COSCO, but except as specifically denied, Respondent lacks sufficient knowledge or information to form a belief about the truth of the remaining allegations in Complaint paragraphs 51-53. To the extent an answer is otherwise required, those allegations are denied.
19. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 54-62. To the extent an answer is otherwise required, those allegations are denied.
20. Respondent admits that COSCO participates in an alliance but except as admitted denies the allegations in Complaint paragraph 63.
21. Respondent admits that COSCO merged with China Shipping Group Company in 2016 and acquired Orient Overseas Container Line Ltd. (“OOCL”) in 2018 but except as admitted, denies the allegations in Complaint paragraph 64.

22. Respondent denies the allegations in Complaint paragraphs 65-71.

23. Respondent admits that COSCO remains a participant in the OCEAN alliance but except as admitted lacks sufficient knowledge or information to form a belief about the truth of the allegations in paragraph 72. To the extent an answer is otherwise required, those allegations are denied.

24. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 73-164. To the extent an answer is otherwise required, those allegations are denied.

25. Respondent cannot confirm or deny that the quoted language in Complaint paragraph 165 was included in an email from Complainant to a COSCO employee. No “To/From” or date/time information has been provided to substantiate this allegation. It further is not clear if the quoted correspondence was actually conveyed to COSCO or if it is an excerpt from correspondence between Complainant and DHL. Otherwise, Respondent denies the allegations in Complaint paragraph 165.

26. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 166. To the extent an answer is otherwise required, those allegations are denied.

27. Respondent denies the allegations in Complaint paragraph 167.

28. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 168-171. To the extent an answer is otherwise required, those allegations are denied.

29. Complaint paragraphs 172-173 sets forth legal conclusions for which no answer is required, but to the extent an answer is required, Respondent denies the allegations of Complaint paragraphs 172-173.

30. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 174-187. To the extent an answer is otherwise required, those allegations are denied.

31. Respondent denies the allegations of Complaint paragraph 188. .

32. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 189-194. To the extent an answer is otherwise required, those allegations are denied.

COMPLAINT COUNT I (46 U.S.C. § 41102(c))

33. Respondent incorporates into this paragraph each of the foregoing paragraphs 1 through 36 as though set forth herein in response to Complaint paragraph 195.

34. Respondent denies the allegations in Complaint paragraph 196.

COMPLAINT COUNT II (46 U.S.C. § 41102(c) and 46 CFR § 545.5)

35. Respondent incorporates into this paragraph each of the foregoing paragraphs 1 through 38 as though set forth herein in response to Complaint paragraph 197.

36. Respondent denies the allegations in Complaint paragraphs 198-199.

COMPLAINT COUNT III (46 U.S.C. § 41104(a)(2))

37. Respondent incorporates into this paragraph each of the foregoing paragraphs 1 through 41 as though set forth herein in response to Complaint paragraph 200.

38. Respondent denies the allegations in Complaint paragraph 201.

COMPLAINT COUNT IV (46 U.S.C. § 41104(a)(10))

39. Respondent incorporates into this paragraph each of the foregoing paragraphs 1 through 42 as though set forth herein in response to Complaint paragraph 202.

40. Respondent denies the allegations in Complaint paragraph 203.

CAUSATION

41. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 204-207. To the extent an answer is otherwise required, those allegations are denied.

REPARATIONS SOUGHT

42. Respondent denies the allegations in Complaint paragraph 208.

43. Respondent lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraphs 209-217. To the extent an answer is otherwise required, those allegations are denied.

AFFIRMATIVE DEFENSES

Without waiving any other defenses, and for further answer, Respondent sets forth the following affirmative defenses:

1. The Federal Maritime Commission lacks subject matter jurisdiction.
2. The Complaint fails to state viable claims against COSCO as it alleges no facts or evidence of unlawful or unreasonable practice or conduct on the part of COSCO.
3. COSCO has not committed any Shipping Act violations and is not liable to Claimant on the cause of action alleged in the Complaint.
4. Complainant lacks standing to enforce a penalty for any alleged “prohibited act” under Section 40501 of the Shipping Act.

5. Complainant lacks standing to assert the claims alleged in the Complaint because it is not a direct purchaser of COSCO's services and did not pay the disputed charges to COSCO.
6. The claims against COSCO set forth in the Complaint are barred in whole or in part by the applicable statutory or contractual limitation period(s).
7. Complainant cannot establish that COSCO engaged in any unjust or unreasonable practice.
8. The claims against COSCO set forth in the Complaint are barred in whole or in part by the doctrines of laches, waiver, or estoppel.
9. If there was any loss to the Claimant as alleged in the Complaint, Respondent is not liable to Claimant by reason of the provisions contained in the bill(s) of lading, contract of carriage, charter party, applicable tariffs, special contract, service contract, or dock receipt(s).
10. The conduct which is the subject of the complaint does not constitute a practice within the meaning of 46 U.S.C. §§ 41104(a) or 41102.
11. The Complaint fails to allege the essential elements of 46 U.S.C. § 41102(c), 46 U.S.C. § 41104(a)(2); 56 U.S.C. § 41104(a)(10), and/or 46 C.F.R. § 545.5.
12. The claims against COSCO set forth in the Complaint are barred in whole or in part to the extent same seeks recovery under the Ocean Shipping Reform Act for acts or omissions that are alleged to have occurred prior to the passage of same.
13. The claims alleged in the Complaint are barred because Complainant has failed to mitigate its damages.
14. The claims alleged in the Complaint are barred by the doctrines of equitable estoppel and/or unclean hands.

15. Any demurrage or detention charges complained of was due in whole or in part to the acts and/or omissions of the motor carrier(s), ocean carriers, terminal operators, warehousemen, rail carriers, and/or the cargo interest(s).
16. Complainant is not entitled to reparations because it has suffered no harm.
17. Respondent's conduct was reasonable under the totality of the circumstances.
18. The claims against COSCO set forth in the Complaint are so vague and/or ambiguous as to require particularization, and COSCO reserves its right to request that they be amplified accordingly.
19. Complainant's claims against the various Respondents do not arise from common transactions or occurrences, and Respondent COSCO reserves its right to request that they be severed accordingly.
20. The ALJ is not constitutionally permitted to adjudicate this case.

Based on the foregoing, Respondent respectfully requests that the Presiding Officer and the Commission dismiss the Complaint with prejudice, award attorneys' fees and costs to Respondent, and enter any further relief as may be appropriate.

Respectfully submitted,

/s/ Keith B. Letourneau

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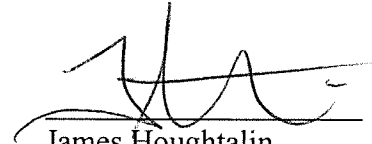
**COUNSEL FOR RESPONDENT
COSCO SHIPPING LINES CO.,
LTD.**

VERIFICATION OF RESPONDENT
COSCO SHIPPING LINES CO., LTD.

James Houghtalin hereby verifies as follows:

1. I am the Chief Risk Officer of COSCO Shipping Lines (North America), Inc., a division of Cosco Shipping Lines Co., Ltd. ("COSCO").
2. I am authorized to make this Verification on behalf of COSCO.
3. I hereby verify that the facts contained in the foregoing Answer and Affirmative Defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: February 12, 2025

A handwritten signature in black ink, appearing to read 'J. Houghtalin', with a horizontal line drawn underneath it.

James Houghtalin
COSCO Shipping Lines
(North America) Inc.

CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to all counsel of record by email, return receipt requested, on this 13th day of February 2025.

/s/ Emma C. Jones

Emma C. Jones